The J.P. Morgan View

2H26 Outlook: Behind the Curve, Ahead on Risk, Relentless AI

- **We expect the global macroeconomic landscape to remain highly uncertain in 2H26 and dependent on the evolution and potential conclusion of the Middle East conflict. Furthermore, we see the relentless AI cycle, the entrenchment of geopolitical fragmentation and a backdrop of sticky inflation, an improving labour market and central bank hikes helping to shape financial markets.**
- **The strong fundamental backdrop will keep the AI upstream theme a dominant driver of our growth outlook with the extension and broadening of the capex cycle. While the US remains at the epicenter by way of leading private capital investment, select Emerging Markets also show a high beta to the AI Supercycle.**
- **Our base case continues to expect some moderation of the tensions in the Middle East, with an eventual reopening of the Strait of Hormuz. However, we anticipate geopolitical fragmentation to persist, driving uncertainty and remaining a lingering risk to the macro and market outlooks in 2H26.**
- **A key anchor of our baseline view for the rest of the year is a controlled and gradual response from DM central banks to sticky inflation. We expect hikes from the ECB (Sep), BoE (Jul) and BoJ (Jun, Dec). We also expect the Fed to stay partly behind the curve: turning neutral and removing their easing bias at the June meeting before staying on hold until 2H27. However, we note that risks are skewed towards an earlier hike in 4Q26 or 1H27.**
- **Cross Asset Views – We expect the risk-on dynamic to continue and hold a positive outlook on risk assets into 2H26, as higher-for-longer oil prices, despite the expectation of a reopening of the Strait of Hormuz, will not be enough to derail the macro resilience. We expect modest and measured hikes from DM central banks, with the Fed likely on hold through 2026. We stay long Growth, Large Cap and the broad Tech theme (AI upstream, Semis, Datacenters). Crowding in positions warrants short-term caution, with risks of a flash crash and/or modest correction. The diversification into EM equities remains intertwined with the AI narrative, while European equities are more at the mercy of the re-opening of the Strait of Hormuz. In DM rates, we stay long 10Y Bund vs. UST as a thematic trade on relative valuations, as well as maintaining a short-term bear-flattening bias on the UST curve driven by our view that Chair Warsh delivers less dovish guidance than expected. We stay bullish USD on the growth/ inflation backdrop allowing Fed hikes and shades of US exceptionalism re-emerging in equity markets. In EM, we move OW EM FX (from MW) and stay MW EM rates, EM sovereigns and corporates. We prefer HY over HG in credit, as HG is more rates sensitive.**
- **Our upside scenario for risk assets would require a reinstatement of the Goldilocks narrative, including: the reopening of the Strait of Hormuz, and early delivery of AI productivity gains reducing inflation pressures and subsequently leading to the removal or postponement of central bank hikes**

Cross Asset Strategy

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See page 12 for analyst certification and important disclosures.

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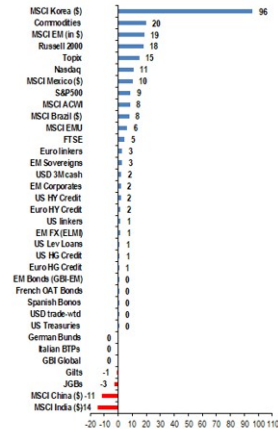
and reinstating the potential for Fed cuts later this year. This should drive further upside to risk assets with a broadening of leadership beyond Tech and into Speculative Growth, Value and Cyclicals, with strong performance of International equities. Across DM rates, this scenario should drive a broad bull-steepening of yield curves with an increase in real yield compensated by a decline in inflation premia. In FX, we would expect carry to become a more dominant theme, favouring high beta currencies including low yielding cyclicals and commodity importers.

- **Our downside scenario for risk assets could unfold from a prolonged closure of the Strait of Hormuz, triggering a non-linear spike in oil prices and significant demand destruction, tipping the economy into recession. A more medium-term risk is DM central banks over-tightening in response to the supply shock (unanchored inflation expectations) or a persistently hot labour market, with the macro damage instead stemming from excessive tightening rather than the oil shock itself. In this scenario, we would anticipate an initial bear-flattening of yield curves on hawkish central bank stances, followed by sharp, bull-steepening as recession forces easing to combat negative payrolls and consumer retrenchment. Amid this backdrop, we foresee a flight-to-quality dynamic, supporting strong USD demand, with negative payrolls and US consumer retrenchment remaining lingering macro risks.**

Korea returns almost 5X those of commodities



Source: Bloomberg Finance L.P.

Table 1: Core recommendations by asset class

Equities	**Country**: OW Eurozone, N Japan, UK. OW EM vs DM ex US. **Sector**: OW Technology, Comm Services, Utilities; Neutral Industrials, Cons. Staples, Cons. Discretionary, Financials, Health Care; UW Energy, Materials, Real Estate.
Bonds	**DM Duration**: In the US, **enter 5Y breakeven wideners**, **take profit long 2Y UST** and hold 5s/10s/30s belly-cheapening butterflies. In Euro rates, **enter long 10Y Germany vs US**, hold fronts/greens conditional bear flatteners via 3M payers and 2s/10s conditional bull steepeners, buy Sep26 SOFR puts vs. Euribor, pay 5Yx5Y Stibor vs. Euribor. In the UK, **sell Jun27 3M SONIA futures vs. Jun27 Euribor futures**, pay Sep26 MPC OIS, hold fronts/greens SONIA curve conditional bear flatteners. In Japan, hold tactical 5s/20s JGB curve steepeners. In AUS/NZ, pay NZD 5Y swap spread, stay received AUD 2Y1Y IRS vs. US, hold AUD 10Y EFP and NZD-AUD 5Y5Y IRS spread. **EM Duration**: MW; OW Hungary, **Colombia**, Mexico, **Paraguay, move MW Brazil** (from OW) and **UW Thailand** (from MW) while UW Peru and Chile.
Credit	**US HG**: OW: Banks (US & Yankee), Finance Cos, Healthcare, UW: Autos, Consumer, Media, Retail **Euro HG**: OW EUR IG vs. GBP IG, iTraxx Main 75bp August payer option **Euro HY**: Long Single-B Basket **EM**: MW sovereigns and corporates
Currencies	**DM**: **Take profit short EUR/AUD and USD/CAD.** Stay long EUR/USD and long NOK vs CHF and JPY. Long USD vs EUR and long NOK/SEK in options. Short CAD/MXN. Stay short JPY on crosses. **EM**: **Move OW overall** (from MW); **move OW CZK** (from UW), **ZAR** (from MW), **CLP** (from MW), and **PYG** (from MW); stay OW HUF, MXN; **move MW MYR** and **BRL** (both from OW) and **PEN** and **INR** (both from UW); **move UW RSD** (from MW) while UW THB.
Commodities	**Long**: Gold, Copper, Aluminum, Silver, and Platinum **Short**: Zinc

Source: J.P. Morgan. New recommendations in bold.

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Figure 1: Cross asset strategy scenario analysis

Asset Class	Baseline	Downside	Upside
Equities	**Bullish equities**; **OW AI** (US & EM); narrow leadership favouring Quality Growth, Tech, Large Cap	**Lower equity markets**; outperformance of rate-beta and defensive sectors (staples, telecom, real estate)	**Higher equities;** broader leadership; favouring Speculative Growth, Value, Small Cap, SPW > SPX; International > US
Rates	Modest **bear flattening of US curve**; OW Bund vs. UST; **EUR/GBP** modest **bull steepening to neutral** (market pricing more hikes than forecast)	Money market inversion; **bear flattening firs**t, leading to **bull steepening**	**Bull steepening** of the yield curve
FX	**Favour USD** and EM high-yielding commodity exporters vs. low yielders	Flight to quality broadly **favouring USD**	Bearish USD; **high-beta FX outperform broadly**, including low-yielding cyclicals and commodity exporters
Credit	**Euro**: HY > HG; **US**: bearish tilt, LL > HY > HG	Spreads wider; prefer HG > HY > LL; USD > EUR credit	Bullish overall; **Euro**: HY > LL; **US**: HY > LL > HG
EM	**Long EM FX** vs. USD (carry focus); **MW rates** focusing on idiosyncratic stories; **EM spreads** grind tighter absent growth risks	**Selectively bullish low yielders;** front-end flatteners (hike first on financial stability, cut on economic impact); **bearish EM FX** (esp. high yielders) and **wider credit spreads**	**Long EM FX and rates** (FX unhedged, long carry); **bullish EM credit** (tighter spreads)
Commodities	**Precious metals**: rangebound gold, silver, PGMs given looming hikes. **Base metals**: long copper, aluminum. **Oil:** rangebound crude, contingent on Hormuz reopening. **TTF:** prices rise as storage needs refilling before winter.	**Precious metals:** long gold. **Base metals:** bearish. **Oil:** higher prices as inventories enter stress levels and demand rationing expands. **TTF:** higher prices as importance of storage and winter uncertainty grow.	**Precious metals:** bullish gold medium-term, silver and PGMs outperform. **Base metals:** bullish. **Oil**: higher as summer demand and inventory refills boost prices. **TTF**: prices under pressure as near-term balances stay tight
Vol	Sell Vol	Buy Vol	Sell Vol

Source: J.P. Morgan

We entered 2026 with the fundamental macro narrative that there would be a recoupling between growth and labour markets. This has played out so far with resilient global growth reaching a 2.5% ar pace in 1Q26 and last week's labour report reinforcing our view that the cyclical lift in global business spending is supporting hiring. Consequently, this dynamic reduces downside risks to growth as it helps to partly cushion the pressure from higher energy prices on household purchasing power. Additionally, it implies further tightening in the labour market. Despite the unemployment rate holding at 4.3%, we expect sustained 100K (or firmer) job gains will tighten the market. Consequently, we forecast the unemployment rate at 4.1% by year-end, which, combined with our forecast of sticky core PCE at 3.2% 4q/4q, should set the stage for the Fed to hike in 2027.

While global growth has been resilient, the Middle East conflict has resulted in higher-inflation and lower-growth revisions globally. As net energy importers, the EU and UK have seen the sharpest increase in inflation projections (1.5% and 1.7%, respectively, since the start of the year) amid the energy supply shock. Inflation projections for EM and the US have also moved higher, an increase of 0.9% and 0.8%, respectively (Figure 2). The US and certain EM economies benefit from a partial buffer given their position as net energy exporters. Conversely, growth revisions have been mixed. EU growth

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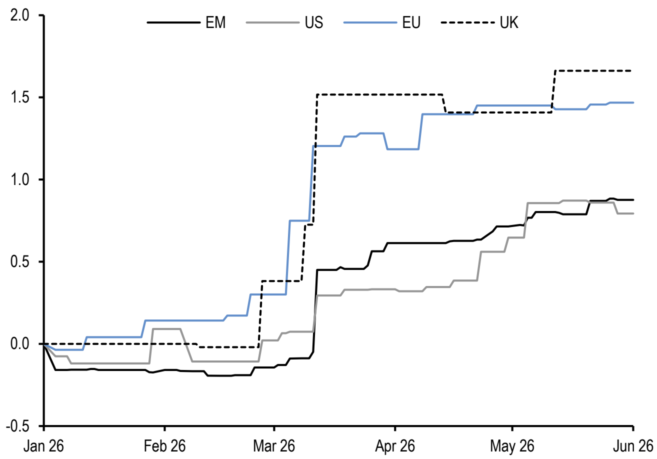
forecast revision indices (FRIs) stand out with the largest downgrades across regions amid the Iran conflict, downside surprises and a sense of slower-than-expected impulse from German fiscal spending. In contrast, EM growth revisions have been stable, while the US has seen some modest downward revisions in growth. Meanwhile, in the UK, growth revisions rebounded after an initial downshift as 1Q26 GDP growth was stronger than our expectations, leading our economists to revise growth higher on this momentum (Figure 3).

Figure 2: CPI forecasts have been revised higher...

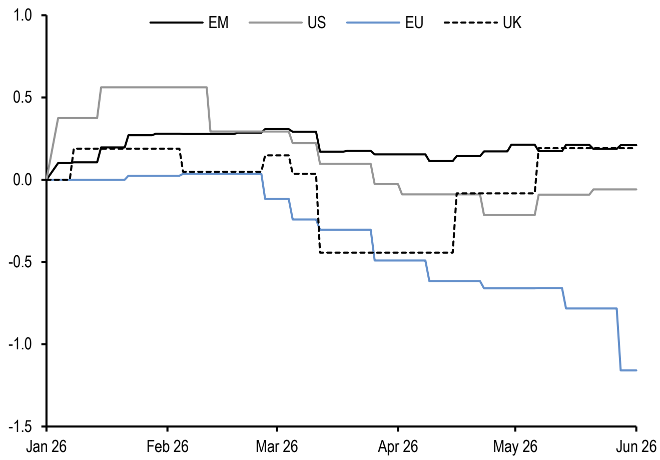
Cumulative change in the JPM CPI forecast revision index; YTD



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 3: ...while GDP growth forecasts have been revised lower

Cumulative change in the JPM GDP growth forecast revision index; YTD



Source: J.P. Morgan, Bloomberg Finance L.P.

In response to inflation concerns, DM and EM markets have repriced higher with select central banks already hiking. Specifically, since the start of the conflict, 1Yx1Y OIS USD and GBP rates have drifted higher by ~90-100bp, while EUR rates have repriced ~70bp higher. Despite these moves, we continue to forecast one, 25bp hike by the Fed in 2H27, one, 25bp hike by the BoE in July and an additional 25bp hike by the ECB, following their hike on Thursday. Notably, most DM markets are pricing in at least 25bp of hikes by year-end (Figure 4), excluding Australia which is pricing in +13bp after already hiking three times earlier this year, and the the US which is pricing +17bp over this same period. Similarly, Figure 5 highlights that markets are pricing in hikes across select EM countries, with the exceptions of Hungary and Israel where the market is pricing 60-90bp of cuts on idiosyncratic drivers. In Israel, the easing is aimed at combating strong FX appreciation, while in Hungary, strong FX appreciation has created room for deeper cuts.

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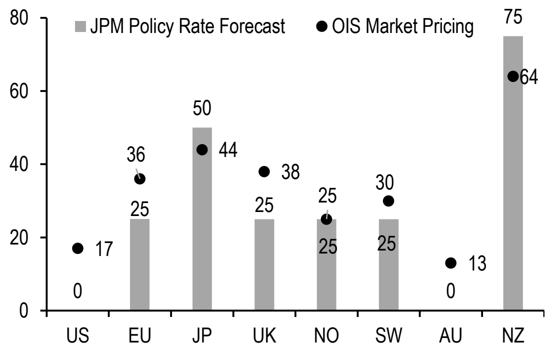
Figure 4: All DM markets are pricing in hikes by year-end

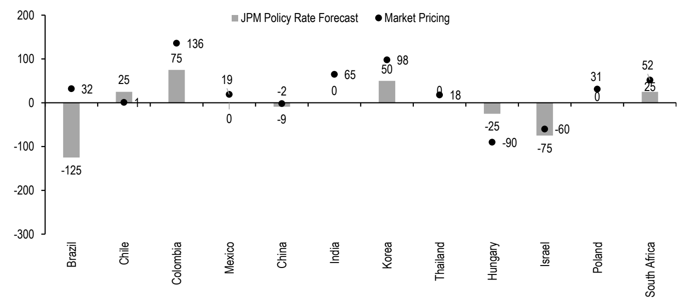
OIS market pricing versus JPM monetary policy forecasts through 4Q26 for DM central banks



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 5: Markets are also pricing in hikes in EM countries, excluding Hungary and Israel

Market pricing versus JPM monetary policy forecasts through 4Q26 for select EM central banks using OIS, IRS and DI futures

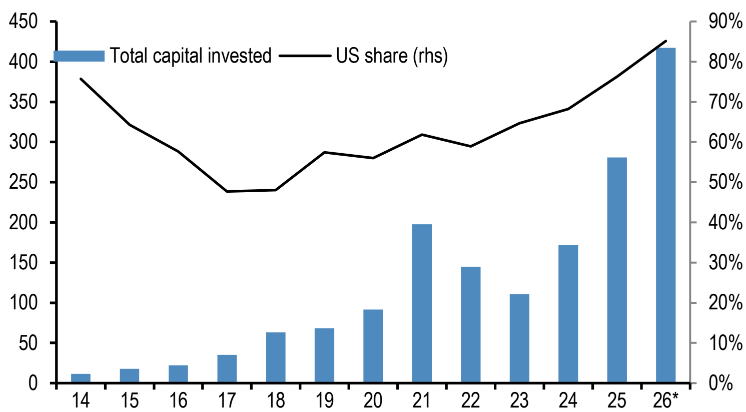


Source: J.P. Morgan

The AI upstream theme and subsequent broadening of the capex cycle remain key pillars of our growth outlook and underpin our bullish stance on US and select EM equities (Taiwan, South Korea, China). The US continues to lead the global AI private investment cycle, with Pitchbook data highlighting that the US share of capital invested by VC funds into AI & ML deals currently stands at 85% (Figure 6), outpacing Europe and Asia at 6.5% and 6.4%, respectively. Notably, the data reflects private financing and consequently, may underrepresent capital invested in countries like China, where many AI ventures are supported by government funds, as anecdotal evidence suggests. Meanwhile in public markets, as per the latest earnings guidance, total full year capex guidance from select US hyperscalers (Google, Amazon, Meta, Microsoft and Oracle) is $751-781bn, which accounts for the majority of capex in the market this year. Notably, we expect broader Tech capex to be revised higher over the course of the year and to continue to see sustained compute demand in 2027.

Figure 6: The US share of capital invested into AI & ML deals by VC funds is 85% YTD, an increase from 76% in 2025

Capital invested by Venture Capital funds into AI & ML deals (USD bn, LHS) vs. share of US capital invested (%, RHS); Data as of June 8th, 2026



Source: Pitchbook, J.P. Morgan

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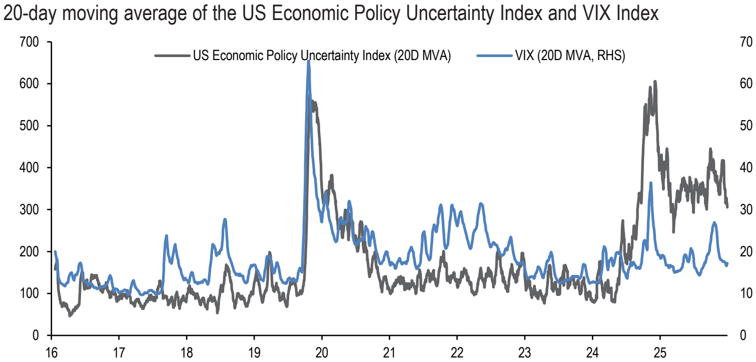
Geopolitical fragmentation, driven by the ongoing Iran conflict and broader US policy uncertainty, will remain a permanent feature of the macro and markets outlook in 2H26. While markets were highly sensitive to Middle East developments at the onset of the conflict, that sensitivity has faded: Brent has stabilized around $90-$100/bbl and most asset classes have seen significant retracements since their peaks during the conflict. This dynamic is evident in Figure 7. Since the 2024 US Presidential Election, the US Economic Policy Uncertainty Index has outpaced the VIX Index, suggesting that resilience and a procyclical, risk-on environment has superseded geopolitical uncertainty. The VIX index is now hovering in the middle of the range down from the 2/3rd percentile at the beginning of the conflict, while the US Economic Policy Uncertainty Index has only retraced from the ~90th to the ~80th percentile.

Reinforcing this disconnect, policy catalysts continue to stack up: the USMCA renewal deadline (Jul 1st), the Section 122 expiration (Jul 24th, with Section 301 likely stepping in), an expansion of Section 232 metals tariffs to downstream derivatives, and the upcoming US midterm elections (Nov 3rd). Despite these overhangs, markets have remained resilient and the risk-on environment has prevailed—a dynamic we expect to persist.

Figure 7: Despite elevated US Economic Policy uncertainty, markets remain resilient

20-day moving average of the US Economic Policy Uncertainty Index and VIX Index



Source: J.P. Morgan, Bloomberg Finance L.P.

Baseline: Resilient growth and sticky inflation lead to uneven and gradual hikes

Our baseline macro scenario remains quite constructive into 2H26. Despite the oil supply shock, we expect improving business sentiment to continue to support the US and global labour markets, allowing consumers to continue smoothing through. We believe the headwinds to the US economy coming from the fading of the OBBBA fiscal stimulus will be offset by an improvement in business sentiment, declining uncertainty on our baseline of reduced tensions in the Middle East and the eventual reopening of the Strait of Hormuz. However, that is unlikely to trigger a sharp reduction in oil prices, as the strong demand for oil to rebuild inventories will limit the downside; we expect Brent price to average $96 in 2026. Elevated oil prices should keep inflation sticky and pressure central banks to hike. We expect the Fed to remove its easing bias and turn neutral at the next meeting, and stay on hold until 2H27, with risks skewed toward an earlier hike in 4Q26 or 1H27. The uneven, slow, and gradual pace of hikes, with the Fed staying 'behind the curve', remains a key anchor of our constructive outlook for risk

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assets in 2H26. Meanwhile, the response from other DM central banks should be uneven, with hikes from the ECB (Sep), BoE (Jul) and BoJ (Jun, Dec).

In terms of views on **risk assets**, we believe that rates higher for longer from the Fed will continue to drive a narrow leadership, with **Quality Growth, Large Cap and Tech** being the preferred choices. We note, though, that higher concentration and crowding in positions leaves the market at a higher risk of either a flash crash and/or modest correction. However, the fundamental backdrop narrative remains strong, and investors should use technical weakness as a buying opportunity. We also favour the EM equity segment that offers a beta to the AI theme, such as Taiwan, South Korea, and China Tech.

In **rates**, we find the intermediate sector of the UST curve expensive and we recommend OW 10Y Bund vs. UST. USD money markets are pricing in an earlier and larger Fed tightening than we anticipate. In the short-term, we see risks skewed towards **a bear flattening of the US yield curve** if Chair Warsh disappoints dovish expectations at the June meeting (shift to neutral). Both EUR and GBP money markets are broadly pricing in more than one additional 25bp hike vs. our baseline, making the curve's outlook more biased to a modest bull steepening or neutral in the case of data and central bank rhetoric failing to validate current pricing. In **FX**, we hold a bullish USD stance on shades of US exceptionalism coming back in the equity market, sticky inflation, and a Fed outlook biased towards hike as their next move. We expect the USD to outperform vs. DM low yielders (EUR, JPY), and we find value in pro-cyclical energy exporter currencies (AUD, NOK). In **EM,** we moved OW FX in the GBI-EM Model Portfolio and remain constructive on high-yielders. Regionally, we are **OW LatAm** (MXN, CLP, PYG), **OW EMEA EM** (CZK, ZAR, HUF) and **UW EM Asia** (THB). Elsewhere in EM, we believe valuations do not offer a clear risk-reward amid elevated risks and we stay **MW rates, sovereign and corporate credit.**

In DM credit, given solid fundamentals but tight valuations, we prefer to go down in quality for spreads to pick up. Additionally, HG credit is more sensitive to interest rates and consequently, we prefer HY> HG in this scenario. In **commodities, oil** prices already reflect a benign Strait of Hormuz reopening scenario and underprice our view of persistent inventory demand post-reopening. At low-$90/bbl Brent, we see risks modestly skewed to the upside, particularly after a short-term drop following reopening, with Brent prices averaging $96/bbl for the full year, somewhat rangebound from current levels. In **LNG (TTF)**, prices should increase as European storages need to be refilled before winter. In **base metals,** we favour copper and aluminum, and in **precious metals** we see rangebound gold, silver and PGMs amid this backdrop given potential central bank hikes. A more bullish **gold** outcome likely requires either (i) a clearer peak in real yields, (ii) renewed geopolitical tail risk, or (iii) a growth/inflation mix that revives USD hedging demand.

Downside: Oil spike and/or aggressive hikes trigger a recession

While our baseline remains for an eventual reopening of the Strait of Hormuz, we remain open-minded to a potential prolonged closure which could trigger a non-linear spike in oil prices (above $150/bbl) resulting in significant **demand destruction and leading to a recessionary dynamic**. A positive feedback loop would develop between weak consumption and a weak labour market (negative payrolls), reinforcing itself in a standard recessionary dynamic. In this scenario, we expect a broad weak performance of

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risk assets, with a relatively worse performance for energy importers regions such as Europe and Asia.

Specifically in **equities**, we would expect lower equity markets with an outperformance of defensive sectors and those that have a stronger beta to rates. Despite the relative performance across sectors, we think the recession scenario would require a decent correction in risk assets. On the **rates side**, we believe higher oil prices will lead to an initial bear flattening of yield curves before quickly reversing into a bull steepening as central banks deliver easing in a recession. The extent of the macro damage will determine where the easing cycle ultimately ends but we would anticipate policy rates to fall below neutral, making long duration and 1Yx1Y steepeners as the most attractive trades. In **FX**, the flight-to-quality dynamic would reignite the dollar smile, with broad support for the USD while bearish EM FX, especially the high yielders. Meanwhile in EM rates, we see an outperformance of low yielders and front-end flatteners, with central banks hiking first on financial stability risks, before easing. In both EM and DM **credit**, spreads would widen and we would hold a preference for High Grade over High Yield and favour US HG over European HG.

We expect gold to work as a risk-off hedge given lower opportunity costs as rates move lower while we are bearish on base metals. In **LNG (TTF),** we would expect higher prices as the importance of storage and winter uncertainty increases. Although the spike in oil prices could be a trigger for this scenario to unfold, demand destruction leading to a recession should warrant a repricing lower. Over the medium-term, the typical supply-shock risk is that the macro damage comes from **central bank overtightening** rather than the shock itself, with a hot labour market as the likely catalyst. Given the Fed's caution and modest moves expected from other DM central banks, this risk is limited near-term but could build over 6-12M as markets and the economy adjust to higher rates for longer.

Upside: Strait of Hormuz reopens, AI-driven disinflation enables fewer hikes, Goldilocks rebounds

In this scenario, the reopening of the Strait of Hormuz and subsequent firm retracement in oil prices, coupled with disinflationary pressures driven by AI productivity could set the stage for a macro upside scenario in 2H26. Importantly, Chair Warsh has cited potential AI productivity gains as a factor supporting easier monetary policy. We're skeptical of this in the short-term, but acknowledge it could justify a patient Fed, and eventually a bias towards easing, despite inflation running above target. Overall, this backdrop is pro-risk with resilient growth matching muted inflation pressures and is broadly consistent with the Goldilocks narrative the market priced in before the Middle East conflict began.

The ability of DM central banks to look through the inflation shock and for the Fed to take policy rates close to the lower end of their neutral target (3.0-3.25%, 50bp lower than current) would be a further factor supporting risk assets. Consequently, we would expect a broadening of the **equity** leadership with strong performance from Speculative Growth, Value, Cyclicals and Small Cap, favouring SPW vs. SPX and room for international equities to outperform. As further rate hikes are unwarranted in this scenario, we would be **bullish rates** and anticipate a steepening of yield curves. In **FX,** the lower intensity of US exceptionalism relative to the RoW and potentially lower policy rates should drive outperformance of high beta currencies. Similarly, against this backdrop, we would favour long positions across **EM FX and rates**, and bullish **EM**

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and DM credit, favouring HY vs. HG. Meanwhile, in **commodities**, we would be long base metals and expect silver and PGMs to outperform, while holding a medium-term bullish gold view. We anticipate crude prices to remain under pressure as the summer demand and inventory refills boost oil demand. In **LNG (TTF)** prices may intially sell off as an immediate response to the Strait reopening, but 3Q balances remain tight, keeping prices elevated over the medium term (3-6 months).

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JPM Forecasts

Rates

	Current	Jun-26	Sep-26	Dec-26	Mar-27
US (SOFR)	3.60	3.60	3.60	3.60	3.60
10-year yields	4.48	4.55	4.65	4.70	4.75
Euro area (depo)	2.25	2.25	2.50	2.50	2.50
10-year yields	3.00	2.95	2.95	2.90	2.85
Italy-Germany 10Y (bp)	73	80	85	85	80
Spain-Germany 10Y (bp)	43	45	45	45	45
United Kingdom (bank rate)	3.75	4.00	4.00	4.00	4.00
10-year yields	4.84	4.70	4.80	4.80	4.75
Japan (call rate)	0.75	1.00	1.00	1.25	1.25
10-year yields	2.64	2.85	2.95	2.95	2.95
EM Local (GBI-EM yield)	6.24			6.18	

Currencies

	Current	Jun-26	Sep-26	Dec-26	Mar-27
JPM USD Index	108.0	107.6	108	108.6	109.1
EUR/USD	1.16	1.17	1.15	1.14	1.13
USD/JPY	160	158	160	164	164
GBP/USD	1.34	1.34	1.31	1.28	1.30
AUD/USD	0.70	0.73	0.71	0.69	0.69
USD/CNY	6.76	6.80	6.70	6.70	6.75
USD/KRW	1519	1515	1540	1560	1580
USD/MXN	17.21	17.40	17.35	17.30	17.30
USD/BRL	5.07	5.05	5.10	5.20	5.15
USD/TRY	46.26	46.60	49.00	51.40	53.70
USD/ZAR	16.31	16.40	16.40	15.90	15.75

Commodities

	Current	Jun-26	Sep-26	Dec-26	Mar-27
Brent ($/bbl, qtr avg)	87	103	104	98	85
WTI ($/bbl, qtr avg)	84	96	97	93	80
Gold ($/oz, qtr avg)	4208	4800	5300	6000	6200
Copper ($/metric tonne, qtr avg)	13452	13500	13000	12500	11800
Aluminum ($/metric tonne, qtr avg)	3508	3650	3800	3700	3450
Iron ore ($/metric tonne, qtr avg)	102	109	105	100	100
Wheat ($/bu, qtr avg)	5.9	5.6	5.6	5.8	5.7
Soybeans ($/bu, qtr avg)	11.16	11.00	10.50	11.00	11.00

Credit

		Current	Dec-26
US High Grade (bp over UST)	JPM JULI	86	95
Euro High Grade (bp over Bunds)	iBoxx HG	89	90
US High Yield (bp vs. UST)	JPM HY	313	350
Euro High Yield (bp over Bunds)	iBoxx HY	315	300
EM Sovereigns (bp vs. UST)	JPM EMBIGD	240	280
EM Corporates (bp vs. UST)	JPM CEMBI	172	210

Equities

		Current	Dec-26
US	S&P 500	7422	7600
Euro Area	MSCI Eurozone	374	385
UK	FTSE 100	10472	10300
Japan	TOPIX	3882	4300
EM	MSCI EM ($)	1665	2000
China	MSCI China	74	100
Korea	KOSPI	8124	9000
Taiwan	TWSE	44169	47000
India	MSCI India	2804	3200
Brazil	Ibovespa	171522	190000
Mexico	MEXBOL	68025	68000
Saudi Arabia	MSCI Saudi Arabia	1260	1235

Equity Sectors - YTD Returns & Recommendations

	US	Europe	Japan	EM
Energy	27.5% UW	35.1% UW	13.7% OW	6.1% OW
Materials	11.8% UW	14.3% OW	15.9% OW	-2.3% OW
Industrials	14.1% N	6.1% OW	8.3% N	14.1% N
Discretionary	-2.2% N	-9.5% OW	-1.5% N	-13.6% N
Staples	11.0% N	2.4% UW	-2.3% UW	-4.0% UW
Healthcare	-0.5% N	-0.2% N	-2.4% UW	-9.1% UW
Financials	-3.8% N	3.3% N	27.0% OW	1.6% OW
Technology	17.3% OW	41.6% N	52.7% OW	75.8% OW
Comm Services	2.3% OW	3.4% N	5.3% N	-15.3% N
Utilities	3.7% OW	15.7% N	4.3% UW	4.5% N
Real Estate	11.4% UW	-1.7% N	-6.4% N	-3.1% N
Overall	8.4% OW	7.5% OW	14.6% N	19.6% OW

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Global Economic Outlook Summary

	Real GDP % over a year ago			Real GDP % over previous period, saar						Consumer prices % over a year ago			
	2025	2026	2027	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.0	2.0	0.5	1.6	2.5	1.5	1.8	2.3	2.7	**3.9** ↓	**3.8** ↓	**2.1** ↑
Canada	1.9	0.4	1.5	-1.0	-0.1	1.0	1.4	1.4	1.7	2.2	2.8	2.2	1.4
Latin America	2.1	1.8	2.0	2.1	1.3	3.1	2.1	1.6	1.8	3.9	4.5	4.6	3.6
Argentina	4.4	3.2	3.2	2.5	1.3	5.5	4.0	3.0	2.8	31.8	32.8	29.4	20.5
Brazil	2.3	1.8	1.6	1.0	4.5	2.0	0.8	0.4	1.6	4.5	4.6	4.8	3.6
Chile	2.5	1.6	3.6	2.1	-1.1	4.5	4.1	3.5	1.5	3.4	4.4	3.8	2.8
Colombia	2.6	2.6	1.5	0.1	2.4	2.5	1.5	0.5	1.5	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	12.7	4.5	0.3	1.0	2.0	3.0	1.4	1.9	2.2	1.5
Mexico	0.5	1.0	1.7	2.9	-2.4	3.3	2.5	2.0	1.6	3.7	4.3	4.3	3.6
Peru	3.4	2.8	3.0	2.2	2.4	5.0	4.0	4.0	2.0	1.4	4.2	4.2	2.8
Uruguay	1.8	0.8	1.6	0.5	-0.6	2.0	3.2	1.0	1.3	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	**4.3** ↑	3.6	5.1	5.9	**3.4** ↑	**3.1** ↑	**3.2** ↑	**3.9** ↓	1.2	2.1	2.3	**2.1** ↑
Japan	1.1	**0.6** ↓	0.7	**0.7** ↓	**1.8** ↓	0.2	1.0	0.8	0.8	2.7	1.4	3.1	3.7
Australia	2.0	2.0	1.8	3.5	1.1	1.6	1.5	1.9	1.5	3.6	4.9	4.6	3.4
New Zealand	0.2	1.9	2.3	1.0	3.3	1.2	3.4	1.2	4.0	3.1	4.0	3.7	2.5
EM Asia	**5.2** ↑	4.9	**4.2** ↑	5.8	6.7	**3.9** ↑	**3.5** ↑	**3.6** ↑	**4.5** ↓	0.9	**1.9** ↓	2.1	1.7
China	5.0	4.7	3.9	5.2	6.7	4.0	3.2	3.2	4.5	0.6	1.2	0.9	0.7
India	7.7	6.5	6.3	7.5	8.0	5.1	5.0	6.2	6.3	0.8	4.1	5.6	5.5
Ex China/India	4.0	**4.7** ↑	**3.6** ↑	**6.6** ↑	**6.0** ↑	**3.0** ↑	**3.4** ↑	**3.3** ↑	**3.6** ↓	1.8	**2.8** ↓	3.4	**2.5** ↑
Hong Kong	3.6	3.4	2.9	4.3	12.2	3.0	2.8	2.8	3.0	1.3	1.6	1.7	1.6
Indonesia	5.1	4.7	4.9	5.7	5.7	3.7	3.3	3.0	5.3	2.8	2.7	3.6	3.0
Korea	**1.1** ↑	**3.7** ↑	**2.7** ↑	**-0.4** ↑	**7.5** ↑	**2.0** ↑	**4.0** ↑	**3.0** ↑	**2.5** ↓	2.4	3.0	**3.5** ↑	**2.6** ↑
Malaysia	5.2	4.6	4.1	5.9	1.7	5.0	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	4.0	5.6	2.4	3.8	4.9	5.7	8.2	4.1	1.7	**6.9** ↓	**8.1** ↓	**4.9** ↑
Singapore	5.0	4.3	2.7	5.2	3.9	3.0	2.0	2.0	3.0	1.2	1.9	2.4	2.0
Taiwan	8.8	**9.9** ↑	3.7	28.7	6.9	**4.5** ↑	**3.2** ↓	**3.2** ↓	4.0	1.3	**2.1** ↓	2.2	**1.7** ↑
Thailand	2.4	2.1	2.5	7.6	2.7	-1.1	1.2	2.0	3.2	-0.5	2.8	3.9	1.4
Western Europe	1.5	0.5	1.2	0.7	-0.3	0.5	1.0	1.2	1.3	2.3	3.0	**3.2** ↓	2.2
Euro area	1.5	0.3	1.2	0.7	-0.9	0.3	1.0	1.3	1.3	2.1	3.1	3.2	2.0
Germany	0.3	0.8	1.4	1.0	1.4	0.3	1.3	1.5	1.5	2.3	2.8	2.6	2.0
France	0.9	0.5	1.0	0.8	-0.4	0.0	0.5	1.0	1.0	0.8	2.7	2.9	1.6
Italy	0.7	0.6	0.5	1.2	1.1	-0.3	0.3	0.5	0.5	1.2	3.1	4.0	1.7
Spain	2.8	2.2	1.6	3.1	2.5	1.5	1.5	1.5	1.5	3.1	3.6	3.3	2.6
Norway	1.7	**1.0** ↓	**1.6** ↓	0.6	0.6	**1.4** ↓	1.8	1.8	1.8	3.1	3.3	3.7	2.6
Sweden	1.7	2.1	2.0	3.4	-0.6	4.0	2.0	2.3	2.0	0.5	**0.3** ↓	**0.9** ↓	**2.0** ↑
United Kingdom	1.4	1.2	1.0	0.6	2.5	1.0	0.5	1.0	1.2	3.4	2.9	3.7	3.1
EMEA EM	2.1	2.0	2.9	2.0	**-0.6** ↑	4.2	3.2	2.8	2.7	10.6	10.5	**9.7** ↓	**8.0** ↓
Czech Republic	2.5	2.1	2.2	2.9	0.6	2.5	2.0	2.5	2.1	2.2	**2.2** ↓	**2.4** ↓	**2.2** ↓
Hungary	0.4	1.9	2.7	0.7	3.2	1.8	1.9	2.5	3.0	3.8	**1.9** ↓	**3.3** ↓	**4.0** ↓
Israel	2.9	3.7	4.1	2.9	-3.3	10.0	5.0	3.8	3.5	2.5	2.0	1.9	1.7
Poland	3.6	3.4	2.9	4.1	2.4	4.3	3.3	3.0	2.8	2.6	**3.1** ↓	**3.3** ↓	**3.1** ↓
Romania	0.7	0.0	3.0	**-7.4** ↑	**0.0** ↑	3.4	3.6	3.2	2.8	9.7	**10.7** ↑	**5.7** ↓	5.0
Russia	1.0	1.0	1.9	3.1	-3.1	4.3	2.0	1.8	1.5	6.6	5.5	5.3	4.4
South Africa	1.1	**1.1** ↑	1.4	1.5	**2.2** ↑	0.0	1.5	1.2	1.6	3.6	4.6	4.9	3.3
Türkiye	3.6	3.0	4.6	1.5	0.5	4.0	5.5	4.6	4.5	31.6	32.5	29.8	24.3
Global	2.8	2.4	2.4	2.3	2.5	2.5	**2.1** ↑	2.2	2.6	2.7	3.5	3.6	2.5
Developed markets	1.8	1.3	1.6	0.6	0.9	1.5	1.3	1.5	1.8	2.6	**3.4** ↓	**3.5** ↓	2.2
Emerging markets	4.2	4.0	3.6	4.7	4.8	**3.8** ↑	3.2	**3.2** ↑	**3.8** ↓	2.8	3.6	3.6	2.9
Emerging ex China	3.6	**3.5** ↑	3.4	4.3	**3.3** ↑	**3.7** ↑	**3.3** ↑	**3.2** ↑	**3.3** ↓	4.7	5.7	5.9	4.9
Global — PPP weighted	3.3	2.9	2.9	3.1	**3.1** ↑	2.8	2.4	2.5	3.0	2.9	3.8	3.9	3.0

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of Global Data Watch, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

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